



**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

RECEIVED

December 12, 2024

Office of the Secretary
Federal Maritime Commission

**ORIENT OVERSEAS CONTAINER LINE LTD. AND OOCL (EUROPE) LTD.
RESPONDENTS AND THIRD-PARTY COMPLAINANTS,**

v.

**SAMSUNG ELECTRONICS COMPANY, LTD. ,
THIRD-PARTY RESPONDENT.**

THIRD-PARTY COMPLAINT

1. Pursuant to 46 C.F.R. §502.62(b)(4) Respondents/Third-Party Complainants Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd. (together, “OOCL” or “Third Party Complainants”) by their undersigned attorneys, bring this Third-Party Complaint against Samsung Electronics Company, Ltd. (“Samsung” or “Third-Party Respondent”).

2. This Third-Party Complaint arises out of the filing of a Complaint (“Complaint”) by Samsung Electronics America, Inc. (“Complainant” or “SEA”) against OOCL before the Federal Maritime Commission, alleging violations of the U.S. Shipping Act (Shipping Act), 46 U.S.C. § 40101, et seq., viz: 46 U.S.C. § 41102(c) (twice); 46 U.S.C. § 41104(a)(3) (before June 16, 2022); 46 U.S.C. § 41102(d) (from June 16, 2022 on); 46 U.S.C. § 41104(a)(10); 46 U.S.C. § 41104(a)(15) (from June 16, 2022 on); and 46 U.S.C. § 41104(a)(14) (from June 16, 2022 on).

3. In an Order dated November 18, 2024 (“Order”), the Presiding Officer dismissed Count II of the Complaint, alleging retaliation under 46 U.S.C. § 41104(a)(3) and 46 U.S.C. § 41102(d). The Order found SEA had alleged no protected activity, nor did it plead any retaliatory activity with respect to vessel-space accommodations or otherwise. Order at 10 (Slip op.). The

Presiding Officer therefore concluded that the Complaint did not plausibly establish a claim for retaliation and dismissed Count II.

4. The Order also dismissed Count III of the Complaint, alleging refusal to deal under 46 U.S.C. § 41104(a)(10). The Complaint did not include any specific factual allegations of OOCL's vessel-space accommodation practices, specific attempts at negotiations, non-transportation factors, quotations for rates, or any other non-conclusory allegations. The Presiding Officer found the Complaint lacked factual material to carry SEA's claim of refusal to deal into the realm of plausibility. Order at 13 (Slip op.).

5. OOCL has filed an Answer which denies the substance of the allegations of the Complaint upon which SEA relies in support of those Counts which have not yet been dismissed and which includes Counterclaims against SEA alleging it has violated 46 U.S.C. §41102 (a) of the Shipping Act by attempting to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, and SEA has thereby knowingly and willfully engaged in an unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act..

6. Samsung ultimately caused SEA to file, or acquiesced in SEA's filing, of the Complaint in violation of 46 U.S.C. § 41102(a) of the Shipping Act, thereby rendering Samsung liable to OOCL and entitling OOCL to the relief described below.

I. COMPLAINANT

7. Complainant alleges it is a corporation, organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118, which sells home appliances and electronic products in the United States.

II. RESPONDENTS/THIRD-PARTY COMPLAINANTS

8. Respondent and Third-Party Complainant Orient Overseas Container Line Ltd. is a corporation engaged in business as an ocean common carrier that is organized and existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong.

9. Respondent and Third-Party Complainant OOCL (Europe) Limited is a corporation engaged in business as an ocean common carrier that is organized and existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 0NE, United Kingdom.

III. THIRD PARTY RESPONDENT

10. The Third-Party Respondent, Samsung, is a corporation engaged in the global electronics business that is organized and existing under the laws of South Korea, with its principal place of business located at 120, Samsung-ro, Suwon, Kyonggi-do, South Korea.

IV. JURISDICTION

11. The FMC has subject-matter jurisdiction over this Third-Party Complaint pursuant to the Shipping Act of 1984, as amended by the Ocean Shipping Reform Acts of 1998 and 2022, 46 U.S.C. § 40101, *et seq.*, 46 C.F.R. 502.12, and Rule 14 of the Federal Rules of Civil Procedure.

12. Orient Overseas Container Line Ltd. and OOCL (Europe) Limited were the VOCCs which performed the transportation of cargo consigned to Complainant and moved pursuant to the terms of Service Contracts Nos. PE213002 dated August 25, 2021 and PE223002 dated September 28, 2022 (collectively, the “Service Contracts”) and which gave rise to the claims asserted by SEA in the Complaint.

13. Samsung was the signatory to the Service Contracts and designated as the Shipper therein. Accordingly, the FMC has jurisdiction to adjudicate the matters alleged against Samsung in this Third-Party Complaint.

14. The FMC's jurisdiction extends to ocean transportation involving through transportation, and the fact that the practices described herein may involve the inland portion of the through transportation does not deprive the FMC of subject matter jurisdiction.

V. FACTUAL ALLEGATIONS

A. Service Contracts with Samsung

15. In 2021 and 2022, Samsung invited OOCL to submit proposals for the transport of Samsung's cargoes and transmitted documents to OOCL entitled 2021 RFQ for Ocean Freight and 2022 RFQ for Ocean Freight (collectively, the "Samsung RFQs") which described the terms and conditions which OOCL was required to meet in the event Samsung accepted OOCL's proposals.

16. Both of the Samsung RFQs provided under paragraph 6, captioned "Customer Service", provided that bidding carriers were required to provide local delivery service (if any) with Samsung's preferred trucker ("CNT").

17. Following Samsung's acceptance of bids submitted by OOCL in response to the Samsung RFQs, Samsung executed the Service Contracts which were filed with Federal Maritime Commission.

18. Samsung agreed, pursuant to paragraph 10 of the Service Contracts, that they shall be governed by United States Law and by the Shipping Act of 1984 as amended.

19. Paragraph 2 of the Service Contracts, captioned "SHIPPER AND AFFILIATES CLAUSES", states that the Service Contracts shall be binding between the Carrier (OOCL) and the Shipper (Samsung), and the affiliates of the Shipper that are listed in Appendix B of the Contracts.

20. Appendix B to each of the Service Contracts lists the Complainant, SEA, as an Affiliate of Samsung, in addition to other entities.

21. Pursuant to Paragraph 2 of the Service Contracts, Samsung represented and warranted that each of the Affiliates listed on Appendix B was an entity controlled by Samsung, and that the person executing the Service Contracts had the authority to enter into the Service Contracts on behalf of Samsung and the Affiliates listed on Appendix B.

22. Pursuant to the representation and warranties made by Samsung in the Service Contracts, the Complainant, SEA, is an entity that is controlled by Samsung and SEA is bound by the terms and conditions of the Service Contracts.

23. Further, pursuant to Paragraph 16 of the Service Contracts, Samsung and the parties set forth in the Appendix agreed that they shall be jointly and severally liable for performance of the terms and conditions of the Service Contracts, including the payment of all rates and charges.

24. Pursuant to Paragraph 1 of the Service Contracts, Samsung agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs listed in Appendix A of each Contract.

25. Pursuant to the representation and warranties made by Samsung in the Service Contracts, the Complainant, SEA as an Affiliate of Samsung, had also agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs listed in Appendix A of each of the Service Contracts.

26. Appendix A of the Service Contracts incorporated by reference Tariff Rule OOLL-100.

27. Tariff Rule OOLL-100 Rule Number: T-26, published on January 2, 2020 and effective on February 1, 2020, states the following with respect to Customer Nominated Truckers (“CNT”):

"...when a customer nominated trucker (CNT) is used for store door delivery for inbound shipment (or door pick up for outbound shipment) at the request of Shipper (or any other entity with an interest in the cargo), it is hereby agreed that the following terms and conditions shall apply:

- Carrier will act as agent of Shipper for purposes of arranging the trucking, and the contract of carriage for inland door delivery transportation shall be deemed to be between the trucker and Shipper or the owner of the cargo. The CNT will be employed by the Shipper or the owner of the cargo, not Carrier, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper."

B. SEA's Claim for Reimbursement of Demurrage, Detention & Other Charges

28. On October 7, 2022, SEA transmitted a letter to OOCL (USA) Inc., we assume as agent for OOCL, captioned "NOTICE OF DEMAND FOR ACTION" ("Demand"), in which it asserted, *inter alia*, that it had been coerced to pay numerous invoices assessing "demurrage, detention, handling and/or storage fees" ("Fees") since 2020 in the amount of USD \$11 million "based on available data...as of Q1 2022" and demanded an immediate refund of these Fees, plus all Fees it pays in the future, on the grounds that the shipments moved under "store-door" terms and that "OOCL was responsible for obtaining all necessary resources therefor under the store-door terms."

29. SEA's October 7, 2022 Demand did not identify the bill of lading numbers, container numbers or individual charges related to the corresponding bills of lading and containers; did not produce any documents, communications or information explaining why the charges were incorrect and should be refunded, waived or reduced; and, instead, claimed that all the charges comprising the \$11 million claim were improper because SEA's shipments moved on a "store-door" basis.

30. OOCL had, and continues to have, a demurrage and detention dispute process in place which meets the FMC's guidelines for "best practices" by which vessel-operating common carriers' dispute processes should be measured. *See*, Vessel-Operating Common Carrier Audit Program, Best Practices (available at <https://www.fmc.gov/fmc-vocc-audit-team-urges-carriers-to-adopt-detention-demurrage-best-practices/>). That OOCL's dispute process met the FMC's best practices guidelines was confirmed verbally by FMC staff.

31. Prior to issuance of the October 7, 2022 Demand, neither SEA nor Samsung had contested the individual charges comprising the \$11 million claim set forth in the Demand through OOCL's demurrage and detention dispute process which was available on OOCL's website.

32. OOCL (USA) Inc. responded to SEA's Demand noting that, based upon the sparse information about the claim that SEA had provided, the charges for demurrage had been incurred because shipments had been left at the terminal past the expiration of free time while awaiting pickup by SEA's CNT (customer nominated trucker); that OOCL had issued multiple and timely notifications to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments; that OOCL had issued "long-dwelling letters" to SEA seeking to obtain its instructions with respect to these containers; and that SEA had not substantively responded to these communications.

33. As to the Demand's claim for reimbursement of detention charges, which were incurred due to SEA's failure to return empty containers prior to the expiration of free time, OOCL (USA) Inc. noted that it had not received any notices, documents or other information from SEA which described extenuating circumstances that impacted SEA's ability to timely return OOCL's containers, such as unavailability of appointments, return facility closures or

other matters outside the control of SEA that would warrant mitigation of the detention charges that were assessed.

34. Despite SEA's failure to challenge invoices in a timely manner through OOCL's dispute resolution process, OOCL (USA) Inc. advised SEA that it would nevertheless review any documentation or information SEA provided which would "cast light on any conditions that prevailed at the time these charges were incurred...and reach a mutually satisfactory conclusion."

35. Other than a one page PDF which summarized its claims that was attached to the initial Demand, none of the documents or information requested by OOCL (USA) Inc. to enable it to identify the shipments which comprised SEA's claim or further evaluate the circumstances which gave rise to the individual demurrage and detention charges that were assessed, has been provided by SEA.

36. Following further exchanges of letters between SEA and OOCL (USA) Inc. and their respective counsel, and a meeting between the parties at SEA's offices in New Jersey, the Complaint which is the subject of this proceeding was filed by SEA.

VI. COMPLAINT, PROCEDURAL HISTORY, ANSWER AND COUNTERCLAIM

37. SEA filed the Complaint on March 28, 2024.

38. The Complaint alleges that OOCL caused SEA to accrue demurrage, detention and other charges in an unspecified amount, which were assessed and collected by OOCL.

39. SEA is seeking reparations in the form of repayment of an unspecified amount, payment of any other amounts "that the FMC deems appropriate" and an order directing OOCL to "cease and desist" from the conduct alleged in the Complaint.

40. As set forth above, in its ruling on OOCL's Motion to Dismiss, the ALJ issued an Order dated November 18, 2024 dismissing Counts II and III of Complaint.

41. The surviving allegations of the Complaint claim that OOCL committed the following violations of the Shipping Act and OSRA 2022:

- Count I: §41102(c), by engaging in practices and procedures relating to the assessment of demurrage and detention charges that were alleged to be unjust and unreasonable of the Shipping Act;
- Count IV: §41104(a)(15), by issuing invoices for demurrage and detention which allegedly did not contain the information required by of OSRA 2022.
- Count V: 46 U.S.C. § 41104(a)(14), by assessing demurrage and detention charges that were unreasonable under OSRA 2022.
- Count VI: 46 U.S.C. § 41102(c), by failing to meaningfully address and evaluate disputed charges under the Shipping Act.

42. OOCL filed an Answer to SEA's Amended Complaint on December 12, 2024.

43. OOCL denied SEA's allegations that OOCL's assessment of demurrage and detention charges were unjust or unreasonable and, to the contrary, averred that same were in compliance with the terms and conditions of the Shipping Act.

44. OOCL denied SEA's allegations that its invoices for demurrage and detention were in violation of OSRA 2022.

45. OOCL denied SEA's allegations that the demurrage and detention charges it assessed were unreasonable under OSRA 2022.

46. OOCL denied that it failed to meaningfully address and evaluate disputed charges under the Shipping Act and, to the contrary, averred that SEA never used the dispute resolution process which OOCL had established.

47. OOCL's Answer further stated a Counterclaim against SEA, alleging that its Complaint seeking to obtain reimbursement of lawfully assessed detention and demurrage charges

was an unjust or unfair device or means to obtain or attempt to obtain transportation for property at less than the rates or charges that would otherwise apply, in violation of 46 U.S.C. § 41102 (a) of the Shipping Act.

VII. VIOLATION OF THE SHIPPING ACT BY SAMSUNG

VIOLATION OF 46 U.S.C. § 41102(a)

48. Section 41102(a) of the Shipping Act, 46 U.S.C. § 41102(a), prohibits a person from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.”

49. During Samsung’s negotiation of the Service Contracts with OOCL, Samsung required that all trucking of cargo transported by OOCL under the Service Contracts be performed by CNTs designated by SEA.

50. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, OOCL acted as an agent for Samsung for purposes of arranging the trucking of containerized shipments transported by OOCL under the Service Contracts.

51. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, the contract of carriage for inland door delivery of shipments transported by OOCL under the Service Contracts was deemed to be between the trucker and either Samsung or SEA as the owner of the cargo.

52. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, the CNTs were employed by either Samsung or SEA as the owner of the cargo, and not by OOCL, and OOCL’s sole responsibility was the payment to the CNT of freight charges that were included in its door delivery service.

53. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, OOCL paid the CNTs designated by SEA only as agent for the Shipper, Samsung.

54. Except for its obligation to pay to CNTs the freight charges agreed upon by OOCL for the inland delivery of containerized shipments transported under the Service Contracts, OOCL was not responsible for the failure to perform by the CNTs, nor was OOCL responsible for failures to perform by Samsung or Samsung's Affiliates, including but not limited to acts or omissions by SEA which resulted in SEA's incurring of detention, demurrage and storage charges at ocean terminals, rail terminals, or other facilities.

55. Charges assessed to SEA for demurrage were incurred because shipments were left at marine terminals past the expiration of free time while awaiting pickup by the CNTs designated by SEA.

56. SEA ignored multiple and timely written notifications sent by OOCL to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments.

57. SEA also failed to take prompt action in response to "long-dwelling letters" OOCL sent to SEA seeking to obtain its instructions with respect to containers which, after going into demurrage, continued to remain at the terminal.

58. Charges to SEA for detention were incurred due to the failure of SEA or its designated CNTs to timely return empty containers prior to the expiration of free time and not due to any act or omission on the part of OOCL.

59. The Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of Samsung's consignee, SEA, to timely take delivery of containerized shipments and return empty containers after the expiration of extended free time periods which had been negotiated between Samsung and OOCL.

60. Upon information and belief, a substantial portion of the demurrage and detention charges assessed against SEA by OOCL were attributable to the failure of SEA's designated CNTs to perform in a timely manner. Under the terms of OOCL's tariff, such failure is the responsibility of SEA, not OOCL.

61. Upon information and belief, a portion of the demurrage and detention charges assessed against SEA by OOCL were attributable to SEA's mismanagement of its supply chain with respect to OOCL including failure to provide adequate warehouse facilities for the timely receipt and unloading of cargo.

62. In this proceeding, and proceedings commenced by SEA against other ocean carriers before the Federal Maritime Commission, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

63. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

64. Pursuant to the terms of the Service Contracts, Samsung represented and warranted that it had the authority to enter into the Service Contracts on behalf of its Affiliate, SEA, and that it controlled its Affiliate, SEA.

65. Through the control which Samsung has expressly represented and warranted that its exercises over SEA, and by failing to exercise that control and/or otherwise permitting

Samsung to engage in a practice that violates 46 U.S.C. § 41102(a), Samsung itself has willfully and knowingly engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

VIII. CAUSATION AND INJURY TO COMPLAINANTS

66. As a result of Samsung's violation of 46 U.S.C. § 41102(a), OOCL has been exposed to damages in the amount alleged in the Amended Verified Complaint, specifically in excess of \$14,300,000 plus interest, as well as legal costs as a result of the proceeding filed against it by SEA, and Samsung is liable to OOCL for all damages, including legal costs, that OOCL may incur.

IX. PLACE OF HEARING

67. The Third-Party Complainants request a hearing on this matter, and further request that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

X. PRAYER FOR RELIEF

WHEREFORE, the Third-Party Complainants, Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd., respectfully request that the Third-Party Respondent, Samsung Electronics Company, Ltd. be required to answer the charges in this Third-Party Complaint, and that after the Commission's investigation and hearing, and that the Commission shall issue an order:

- 1) Directing that the Third-Party Respondent, Samsung Electronics Company Ltd. cease and desist from violating 46 U.S.C. § 41102(a) of the Shipping Act, specifically

from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply;

2) Directing that the Third-Party Respondent, Samsung Electronics Company, Ltd. exercise the control that it represented and warranted it exercises over its Affiliate, SEA, and cause SEA to cease and desist from violating 46 U.S.C. § 41102(a) of the Shipping Act, specifically from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply;

3) Requiring Third-Party Respondent to pay for all damages incurred by OOCL as a result of the Third-Party Complaint, including its attorneys' fees and costs pursuant to 46 U.S.C. § 41305; and,

4) Providing OOCL such other and further relief that the FMC deems just and proper.

DATE: December 12, 2024

Respectfully submitted,

/s/ Eric C. Jeffrey

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VERIFICATION

I declare under penalty of perjury under the laws of the United States of America that the foregoing **Third Party Complaint** are true and correct.

Signed:



Name

Gavin Murdoch

Title

VP - Risk & Compliance

Date

December 12, 2024